

Nepal Electricity Authority Act, 1984

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 12

Nepal Electricity Authority Act, 2041 (1984)

Royal Seal and Date of Publication

2041.07.27

Amending Acts

1. Administration of Justice Act, 2048 (1992) 2048.02.16
2. Nepal Electricity Authority (First Amendment) Act, 2049 (1992) 2049.07.06

Ratification and Date of Publication

3. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009) 2066.10.06
4. Some Nepal Acts Amendment Act, 2072 (2015) 2072.11.13
5. Some Nepal Acts Amendment Act, 2075 (2018) 2075.11.19
6. Some Nepal Acts Amendment Act, 2082 (2025) 2082.04.14

Act No. 18 of 2041 (1984)

An Act Made to Establish and Make Provision for Nepal Electricity Authority

Preamble: Whereas, it is expedient to make legal provision for the establishment and operation of Nepal Electricity Authority to make electricity generation, transmission and distribution efficient, reliable and accessible so as to make arrangement for electricity supply,

His Majesty King Birendra Bir Bikram Shah Deva has enacted this Act with the advice and consent of the National Panchayat. Chapter 1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Nepal Electricity Authority Act, 2041 (1984)."

(2) This Act shall commence from the date specified by the Government of Nepal by notification published in the Nepal Gazette. 2. Definitions: In this Act, unless the subject or context otherwise requires,-

(a) "Consumer" means a person who consumes electricity.

(b) "Authority" means the Nepal Electricity Authority established under Section 3.

(c) "Electricity" means electric power generated from water, diesel, coal or any other technology.

(d) "Tariff" means the electricity tariff charged by the Authority from the consumer in consideration of supplying electricity.

(e) "Committee" means the Board of Directors constituted pursuant to Section 8. Added by the First

Amendment. (e1) "Unauthorized Consumption" means the act of consuming electricity from the Authority's electricity system without the authority's approval, or consuming electricity in violation of the conditions to be complied with by the consumer while consuming electricity, or the act of stealing electricity.

(f) "Prescribed" or "as prescribed" means prescribed or as prescribed in the regulations made under this Act.
Chapter 2

Establishment, Capital and Management

3. Establishment of the Authority: (1) Nepal Electricity Authority is established for the purpose of making proper arrangement of electricity supply by making electricity generation, transmission and distribution efficient, reliable and accessible.

(2) The Authority shall be called "Nepal Electricity Authority" in the English language.

(3) The principal office of the Authority shall be located in Kathmandu. 4.

To be a Body Corporate: (1) The Authority shall be a self-governing and corporate body with perpetual succession. (2) The Authority shall have its own separate seal. (3) The Authority may, like an individual, acquire, use, sell or otherwise dispose of movable and immovable property. (4) The Authority may, like an individual, sue and be sued in its own name. 5. Share Capital and Shareholders: (1) The initial authorized share capital of the Authority shall be as determined by the Government of Nepal by notification published in the Nepal Gazette, and such capital shall be divided into shares as specified in that notification. (2) With the permission of the Government of Nepal, the Authority may increase or decrease its initial authorized share capital, and if the share capital of the Authority is reduced, the nominal value of each share shall also be reduced in proportion to the share capital. (3) Of the shares issued by the Authority, only the shares remaining after purchase by the Government of Nepal shall be sold to the general public. (4) The liability of the shareholders of the Authority shall be limited. (5) Each share shall be indivisible, and a shareholder shall be entitled to vote at the general meeting of shareholders at the rate of one vote for each share held. Added by the First Amendment. 5A. May Purchase Shares: After the provision for a general meeting is made, as approved by the general meeting, and until the provision for a general meeting is made, with the approval of the Government of Nepal, the Authority may purchase shares of industries related to electricity. 6. To Issue Debentures: After the provision for a general meeting is made, as approved by the general meeting, and until the provision for a general meeting is made, with the approval of the Government of Nepal, the Authority may issue debentures. 7. To Take Loans or Grants: After the provision for a general meeting is made, as approved by the general meeting, and until the provision for a general meeting is made, with the approval of the Government of Nepal, the Authority may take necessary cash or kind loans or accept grants for its working capital. 8. Constitution of Board of Directors: A Board of Directors shall be constituted for the operation, supervision and management of all business affairs of the Authority. The Board of Directors shall exercise all powers conferred on the Authority and perform its duties in accordance with this Act and the regulations made under this Act. 9. Directors: (1) The Board of Directors shall consist of eight directors.

Those directors shall be elected by the general meeting, and the person chosen from among themselves by the elected directors shall be the Chairperson of the Board of Directors. (2) The Government of Nepal or any corporate body may nominate directors in proportion to the shares taken by the Government of Nepal or such body, and the rights and liabilities of such nominated directors shall be the same as those of elected directors. Amended by the First Amendment. (3) Notwithstanding anything contained in subsection (1), until the provision for the election of directors by the general meeting is made, the Board of Directors shall consist of the following members:- Amended by the Some Nepal Acts Amendment Act, 2075 (2018). (a) The Minister

for Energy, Water Resources and Irrigation or a special class employee of the Government of Nepal designated by the Government of Nepal - Chairperson Amended by the Some Nepal Acts Amendment Act, 2075 (2018). (b) Secretary, Ministry of Energy, Water Resources and Irrigation - Member (c) Secretary, Ministry of Finance - Member Amended by the Some Nepal Acts Amendment Act, 2082 (2025). (d) One person nominated by the Government of Nepal from among persons who have obtained at least a bachelor's degree in Economics, Commerce, Finance or Management from a recognized university and have at least five years of work experience in the field of financial management or project investment - Member Amended by the Some Nepal Acts Amendment Act, 2082 (2025). (e) Two persons, including at least one from the Dalit community, nominated by the Government of Nepal from among electricity consumers who have obtained at least a bachelor's degree from a recognized university and have at least five years of experience in a body or organization related to consumer rights and interests - Member Amended by the Some Nepal Acts Amendment Act, 2082 (2025). (f) Two persons, including at least one woman, nominated by the Government of Nepal from among persons who have obtained at least a bachelor's degree in Engineering from a recognized university and have at least five years of work experience in the field of hydropower or infrastructure - Member (g) Executive Director, Authority - Member-Secretary Amended by the First Amendment. (4) The term of office of nominated members of the Committee shall be four years. Provided, however, that the Government of Nepal may, if necessary, remove such members before the expiry of their term or nominate another person in their place.

Added by the Some Nepal Acts Amendment Act, 2082 (2025). (4A) The members nominated under clauses (d), (e) and (f) of subsection (3) who are holding office at the time of commencement of this subsection shall continue in office for the term specified at the time of their nomination. (5) The term of office of directors elected by the general meeting shall be four years, and after the expiry of the term, they may be re-elected as a director for a maximum of two consecutive terms. Provided, however, that among the eight directors elected for the first time, the term of office of four directors determined by lottery shall be two years. 10. Disqualification for being a Director: The following person shall not be eligible to be or remain a director:- (a) Any salaried officer holder of the Authority, Provided that this clause shall not apply to the Executive Director appointed by the Government of Nepal. (b) Being insolvent unable to pay debts, (c) Being insane or of unsound mind, (d) Having been convicted by a court on a criminal charge involving moral turpitude, (e) Being directly or indirectly interested in any contract or lease with the Authority. 11. Director May be Removed: (1) A director elected by the general meeting may be removed by a majority of the shareholders present at the general meeting in the following circumstances:- (a) If any condition mentioned in Section 10 arises, (b) If he/she is absent from meetings of the Committee for more than three consecutive times without any reasonable cause and without the permission of the Committee. Deleted by the First Amendment. (2) (3) Directors shall automatically cease to be members of the Committee in the following circumstances:- (a) If the resignation tendered by a member is accepted, (b) Upon death. 12. Filling of Vacancy of Director: (1) If the post of any director becomes vacant due to death, resignation or any other reason, such vacancy shall be filled only for the remaining term of the predecessor. 13. Acts Not to be Invalid: No act or proceeding of the Committee shall be invalid merely by reason of any defect in the constitution of the Committee, or any vacancy in the post of any director. 14. Remuneration of Director: The remuneration and facilities of directors shall be as prescribed. Provided, however, that members under subsection (3) of Section 9 shall not receive remuneration, and they shall receive only meeting allowance as determined by the Committee. 15.

Meeting of the Committee: (1) The meeting of the Committee shall be held at the prescribed date, time and place. (2) If more than fifty percent of the directors are present, the meeting of the Committee shall be deemed to have formed a quorum. (3) The meeting of the Committee shall be presided over by the

Chairperson of the Committee or, in his/her absence, by a director chosen from among themselves by the directors present at the meeting. (4) The decision of the majority shall prevail at the meeting of the Committee, and in case of a tie, the director presiding over the meeting shall have a casting vote. (5) Other procedures relating to the meeting of the Committee shall be as prescribed. 16. To Follow Commercial Principles: While performing the functions of the Authority, the Committee shall follow commercial principles, having due regard to the convenience of the general public. 17. General Manager or Executive Director, Advisors and Other Employees: (1) For the purpose of conducting the business of the Authority, the Committee may appoint a General Manager as the chief administrative officer, and advisors and employees as required. Provided, however, that until the provision for a general meeting is made, the Government of Nepal shall appoint an Executive Director as such chief administrative officer. (2) The remuneration, other terms of service and facilities of the General Manager or Executive Director, advisors and other employees of the Authority shall be as prescribed. 18. Restriction on General Manager or Executive Director: No General Manager or Executive Director of the Authority shall be directly or indirectly interested in any contract or lease with the Authority. Chapter 3 Functions, Duties and Powers of the Authority 19.

Functions and Duties of the Authority: The functions and duties of the Authority shall be as follows:- (a) To recommend to the Government of Nepal for determining long-term and short-term policies relating to electricity supply, Added by the First Amendment. (a1) To generate, transmit or distribute electricity and supply electricity in accordance with the prevailing law. (b) To formulate plans for electricity generation, transmission and distribution systems and other related works, and to construct, operate, maintain and develop electricity generation stations, substations, distribution centers, transmission and distribution lines and related facilities necessary for the implementation of the formulated plans, (c) To make arrangement for the generation, transmission and distribution of electricity of appropriate level in economically viable areas for industrial and agricultural development and the convenience of the people, Amended by the Some Nepal Acts Amendment Act, 2075 (2018). (d) To determine service charges including meter connection, meter shifting, name transfer, capacity enhancement from consumers excluding electricity tariff, (e) To carry out or cause to be carried out necessary research work relating to electricity generation, transmission and distribution, (f) To make arrangement for higher training and studies to prepare skilled manpower relating to electricity generation, transmission and distribution, Added by the First Amendment. (f1) To provide technical advice and consultation related to electricity generation, transmission or distribution work. (g) To carry out or cause to be carried out other necessary works for the fulfillment of the objectives of the Authority. 20. Powers of the Authority: (1) The powers of the Authority shall be as follows:- (a) To take loans from domestic institutions, banks or persons, (b) To take loans from foreign governments, foreign institutions and international institutions, (c) To collect electricity tariff and service charges from consumers, (d) To sell electricity to foreign countries or purchase electricity from foreign countries, (e) To invest the amount lying in the Authority's fund, Added by the First Amendment. (e1) To control unauthorized consumption of electricity distributed by the Authority, (f) To purchase electric power generated from the private sector, (g) To do all acts incidental and necessary for the performance of its functions and duties. (2) While exercising the powers under clauses Amended by the First Amendment. (b) and (d) of subsection (1), the Authority shall obtain prior approval of the Government of Nepal. 21.

To Acquire Land: The Government of Nepal may, in accordance with the prevailing law, acquire necessary land for the Authority for the following purposes:- (a) To construct dams or embankments, (b) To construct canals or channels, (c) To construct reservoirs, (d) To construct electricity generation stations, transmission centers and substations, (e) To install electric wires or lines above or below the ground, (f) To erect electric poles, (g) To construct other electricity-related facilities, (h) To carry out other works for the fulfillment of the

objectives of the Authority. 22. To Enter into Others' Houses and Lands: If it is necessary for a person authorized by the Authority to enter into another person's house or land in the course of the Authority's work, he/she may enter after giving prior notice to the person currently using such house or land. Provided, however, that if there is reasonable ground to suspect misuse or theft of electricity, or to prevent an accident or to carry out urgent repair work, prior notice need not be given. 23. Electricity Line May Be Cut: (1) If any consumer fails to pay the tariff, fine, compensation, surcharge, other charges and other amounts payable to the Authority within the prescribed time Added by the First Amendment. or makes unauthorized use of electricity, the Authority may cut the electricity line provided to such consumer. Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009). (2) Added by the First Amendment. 23A. May Impose Compensation, Surcharge and Fine: If any consumer or other person makes unauthorized consumption of electricity, or if a consumer fails to pay the electricity tariff within the prescribed time, the Authority may levy fine, compensation and surcharge from such consumer or person making unauthorized consumption of electricity as prescribed. 24. Not to Sell Property: The Authority shall not sell, or otherwise transfer or transfer title of, any immovable property or any movable property of a value exceeding one hundred thousand to any person without the prior approval of the Government of Nepal. Provided, however, that prior approval of the Government of Nepal need not be obtained when auctioning items that have been used in work or have become unusable due to any other reason. 25.

Power to Give Directions: (1) The Government of Nepal may give the following directions to the Authority:- (a) To operate any electricity service or to do any other work, specifying or not specifying a particular area, (b) To stop, make any change in, or completely discontinue any work being done by the Authority in any area, (c) Not to do any work that the Authority intends to do. (2) It shall be the duty of the Authority to comply with the directions given by the Government of Nepal pursuant to subsection (1). (3) If the Authority has to suffer a loss while acting in accordance with the directions given by the Government of Nepal under clauses Amended by the First Amendment. (a) and (b) of subsection (1), the Government of Nepal shall pay the amount so incurred as compensation to the Authority. 26. Annual Report: After the completion of audit each year, the Authority shall submit an annual report to the Government of Nepal, along with the auditor's report, containing the following details:- (a) Details of the plan to implement the policy relating to electricity supply, (b) Detailed status of projects operated by the Authority, (c) Financial statement relating to the projected expenditure and sources of income of the Authority for the next five years, (d) Details of the implementation of directions received from the Government of Nepal, (e) Other details considered appropriate by the Authority. 27. Delegation of Powers: The Authority may delegate any of its powers to the Chairperson of the Committee, a director or member, or a sub-committee, the General Manager or Executive Director of the Authority, or any other employee. Chapter 4 General Meeting 28.

General Meeting: (1) After shares of at least ten percent of the total issued share capital of the Authority have been sold to the general public, an annual general meeting shall be held at the principal office of the Authority within three months from the date of receipt of the audit report after the completion of the audit each year. (2) An extraordinary general meeting of the Authority shall be held at any time upon a written request by shareholders holding shares of at least ten percent of the total paid-up share capital of the Authority, or if the Committee considers it necessary. (3) If twenty-five percent of the total number of shareholders whose names are registered as shareholders in the register of shareholders are present in person or by proxy, the general meeting shall be deemed to have formed a quorum. (4) At the annual general meeting, discussion shall be held on the profit and loss account and balance sheet of the Authority, the auditor's report, and the report of the Committee on the work of the Authority throughout the year. (5) A shareholder whose name is registered as a shareholder in the register of shareholders shall be entitled to vote at the general meeting in

person or by proxy duly appointed from among other shareholders. Provided, however, that a shareholder who has not paid the unpaid amount of the share called by the Authority shall not be entitled to vote in that manner. (6) The Chairperson of the Committee shall preside over the general meeting, or in his/her absence, a person chosen by a majority of the shareholders present at the general meeting from among themselves shall preside. Chapter 5 Fund and Audit 29. Fund of the Authority: (1) The Authority shall have its own separate fund. All amounts including the capital, loans and grants of the Authority shall be deposited in that fund. (2) All expenses of the Authority shall be borne from the fund. (3) The operation and financial administration of the fund of the Authority shall be as prescribed. 30.

Accounts and Audit: (1) The accounts of the Authority shall be kept in the format and manner approved by the Committee. (2) Until the provision for a general meeting is made, the audit of the accounts of the Authority shall be conducted by the Auditor General or an auditor designated by him/her, and after the provision for a general meeting is made, by an auditor designated by the general meeting. Chapter 6 Miscellaneous 31. Formation of Advisory Committee: (1) The Authority may form an advisory committee as prescribed. (2) The functions and duties of the advisory committee formed pursuant to subsection (1) shall be as prescribed. 32. Local Tax Not to Apply: No local tax of any kind shall be levied on the transactions of the Authority. Added by the First Amendment. 32A. May be Recovered as Government Dues: The Authority may recover tariffs, fines, compensation, surcharges payable by a consumer or any other person under this Act or the regulations made under this Act as government dues. 33. To Take Oath of Honesty and Secrecy: Every director or member, auditor, General Manager or Executive Director and other officers and employees of the Authority shall, before assuming their office, take an oath of secrecy as mentioned in the Schedule. 34. Dissolution of the Authority: (1) The Government of Nepal may, in the following circumstances, issue an order dissolving the Authority and appoint one or more liquidators for the distribution of its assets:- (a) If shareholders holding shares of at least twenty-five percent of the paid-up share capital of the Authority demand in writing, giving reasonable cause, the dissolution of the Authority, (b) If the Government of Nepal determines that the work of the Authority is not being conducted properly, or the assets of the Authority are being misappropriated, or the Authority has repeatedly violated the directions of the Government of Nepal. (2) An order issued by the Government of Nepal dissolving the Authority pursuant to subsection (1) shall be final. 35. Power to Make Regulations: The Authority may make necessary regulations for the conduct of the business of the Authority, not inconsistent with this Act. Amended by the First Amendment. Amended by the Some Nepal Acts Amendment Act, 2075 (2018). 36.

Liaison with Government of Nepal: While liaising with the Government of Nepal, the Authority may, in matters of policy, liaise through the Ministry of Energy, Water Resources and Irrigation, and in other matters, directly liaise with the concerned body of the Government of Nepal. 37. Transfer of Assets and Liabilities: (1) Projects operated by the Government of Nepal or development committees formed under the Development Committee Act, 2013 (1956) shall, after the commencement of this Act, be valued and transferred to the Authority. Provided, however, that if such a project is to be transferred before its completion, the valuation of assets shall be done only after the completion of the project. (2) When a project operated with loans obtained from foreign governments, foreign institutions or international institutions is transferred to the Authority pursuant to subsection (1), the transfer shall be made on the condition that the Authority shall pay the necessary amount to the Government of Nepal under terms specified by the Government of Nepal for the principal and interest payable by the Government of Nepal on such loans. Provided, however, that the Authority shall provide shares to the Government of Nepal for the amount of principal and interest paid by the Government of Nepal and expenses incurred on such project. (3) When a project operated with assistance or grants obtained from foreign governments, foreign institutions or international institutions, or operated by the

Government of Nepal at its own expense, is transferred to the Authority pursuant to subsection (1), the transfer shall be made on the condition that the Authority shall provide shares to the Government of Nepal for the assets of such project. 38. Repeal and Transfer of Assets and Liabilities: (1) The Nepal Electricity Corporation Act, 2019 (1962) is hereby repealed, and the Nepal Electricity Corporation formed under that Act is hereby dissolved. (2) All movable and immovable assets and liabilities of the Nepal Electricity Corporation dissolved pursuant to subsection (1) shall devolve upon the Authority. 39. Jurisdiction for Cases: The Amended by the Some Nepal Acts Amendment Act, 2072 (2015). District Court shall have jurisdiction for the original trial and disposal of cases in which the Authority is a plaintiff or defendant. Added by the First Amendment. 39A.

Protection of Acts Done in Good Faith: The General Manager, Executive Director or other employee of the Authority shall not be personally liable for any act or proceeding done in good faith in the performance of their duties under this Act. 40. To be According to Other Prevailing Law: Matters provided for in this Act shall be according to this Act, and other matters shall be according to the prevailing law. Schedule (Relating to Section 33) Pledge of Honesty and Secrecy I, , do pledge that, in my capacity as a director, member, auditor, officer or employee of the Authority, I will honestly and faithfully perform all duties connected with my office to the best of my ability and capacity. I further pledge that I will not disclose or cause to be disclosed any secret information relating to the Authority to any unauthorized person, nor allow any such person to inspect or receive any book or document under the control of the Authority and relating to the Authority.